Inside Xiaomi's sharp downfall in India

Poor product positioning, retailer dissatisfaction and more

Siddharth Chauhan
editor@digit.in

For nearly half a decade, Xiaomi was synonymous with smartphone dominance in India. From 2017 to 2022, the Chinese brand, often regarded as the "Apple of China", sat atop the market, riding on the twin engines of high-spec devices at unbeatable prices and a fiercely loyal online customer base. But in a stunning reversal of fortune, the Chinese phone maker seems to have lost its grip over the market. Not only that, there are more serious issues affecting its presence in the Indian market. These include poor positioning of products, objectionable pricing of devices and dissatisfaction among retailers.

According to IDC, Xiaomi plummeted to seventh place in the Indian smartphone rankings, a fall as spectacular as its earlier rise. The latest Canalys data paints an equally grim picture as Xiaomi's shipments dropped by 38 per cent year-on-year in Q1 2025, despite major launches like the Redmi Note 14 series and Xiaomi 15 in the same phase. This is the sharpest decline in shipments among all major brands operating in India.

The company that revolutionised India's smartphone landscape with its "more bang for your buck" philosophy now finds itself fighting for relevance in the same country. So what went wrong for a brand that once seemed invincible? Digit's conversations with leading industry analysts, market experts, and retail insiders reveal a telling picture, factors that together turned Xiaomi's triumph into turmoil.

Fall of a giant

Xiaomi's dominance, which stretched from 2017 to 2022, has eroded dramatically. Even with the launch of its Redmi Note 14 series and Xiaomi 15 flagship, the brand's market share has shrunk to just 12 per cent, dropping it from market leader to third place before sliding further to seventh by January.

Navkendar Singh, Associate Vice President of IDC India points to a combination of factors. "It has faced inventory issues in 2024 and new models launched in 2025 have received lukewarm response," he explains. Meanwhile, competitors like Vivo have maintained "a growth trajectory for the past several quarters with strong play in volume-driven mass segment and offline channel."

Shubham Singh, Research Analyst at Counterpoint Technology Market Research, confirms the decline.

"Xiaomi witnessed a sharp 37 per cent YoY decline in Q1'25, primarily due to higher inventory, which led Xiaomi to adopt a cautious stance with a focus on stock clearance. Despite recent launches like the Redmi Note 14 series, Redmi 14C 5G, and A4 5G, consumer traction has remained limited. The brand continues to face headwinds, especially as competition intensifies across segments," he said.

Loss of identity

A major internal factor behind Xiaomi's decline has been its confused brand positioning. Traditionally, the Redmi brand was loved for offering unbeatable value-for-money devices. However, as Faisal Kawoosa, Chief Analyst at TechARC, points out, Xiaomi's attempt to premiumise Redmi has backfired.

"Redmi is known for its 'value for money' positioning. The moment it tried to go premium, without much preparation, it lost the perception battle," said Kawoosa. "Premium pricing requires brand trust and aspirational pull, something Redmi wasn't ready for yet."

Tech analyst and market insights expert Yogesh Brar agrees, that this premiumisation push has created a "fragmented" brand identity stuck between "its budget roots (Redmi/Poco) and premium aspirations (Xiaomi series), which may confuse consumers and dilute its image."

Prabhu Ram, VP of Industry Research Group at CyberMedia Research (CMR) notes that while "Xiaomi is currently undergoing a brand realignment and reinvention, with its recent premium strategy beginning to deliver positive results," the company needs to "significantly strengthen its marketing and communications to enhance brand salience, particularly among Gen Z." d

Read more on Digit.in
tinyurl.com/baajrkzr